Let's suppose:

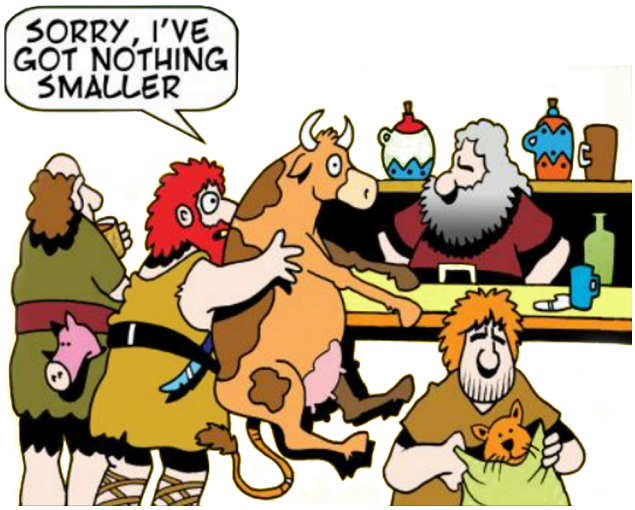
- Joseph wants to trade his banana for Yael's coconut.
- But Yael only wants to trade her coconut for Tammy's mango.
- And Tammy only wants to trade her mango for Joseph's banana.
- They are stuck in a never-ending cycle of fruit trading without a double coincidence of wants.
- Joseph suggests they just trade their fruits for a nice cold soda, but they realize they are on a remote island and there is no soda.
- They decide to just sit on the beach and enjoy their fruits in silence.

Using a **common unit of account**, such as a "soda", makes trade and commerce much more efficient. In ancient times people began by using beads, shells, and other items that had value in their society as **mediums of exchange**.

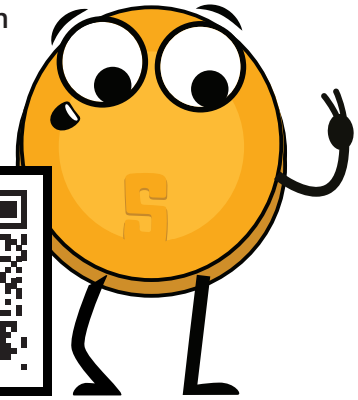
2.2 From Commodities to I.O.U's

As you and your community become more involved in trade and commerce, you realize the limitations of using bartering and other forms of non-monetary exchange. You decide to adopt the use of **metal coins as a form of money**.

Why Money was Invented



This is the second episode, called *Not Just Noodles*, from "The History of Paper Money".



These metal coins are made of valuable materials like gold and silver, and they serve as a medium of exchange and unit of account to facilitate trade and commerce: **commodity money.**